PROPOSAL

Making the ECS Grant Visible in the Andover Budget

A letter to the Board of Finance, with worked examples, asking that the state's Education Cost Sharing grant be shown against the two school budgets voters approve

A proposal by Scott Sauyet · scott@sauyet.com · Co-chair, Andover Democratic Town Committee · Not an official document

> *A July 2026 letter asking the Board of Finance to allocate the state's Education Cost Sharing grant between the two school appropriations and show that allocation on the budget documents voters see, together with the sample spreadsheets that demonstrate the presentation. This is a proposal, not one of the reports elsewhere on this site: it recommends a change in practice and argues for it. The figures are the Board's own, and every document the argument rests on is linked below.*

SUMMARY

The argument in one paragraph

Andover receives about $2.08 million a year from the state in Education Cost Sharing (ECS). The grant exists because the town runs an elementary school and sends its older students to RHAM, yet the budget documents record it as undifferentiated town revenue. Voters at the bifurcated referendum therefore see the AES appropriation and the RHAM levy at their gross figures, with no sign of the state money the schools generate. The letter asks the Board of Finance to split the grant between AES and RHAM in proportion to the prior year's adopted school budgets and to print that split, and the resulting net local cost, on the face of the budget. Spending does not change. The mill rate does not change. What changes is that a voter can see what each school budget actually costs the town from the documents alone.

TODAY

What the town does today

The ECS grant is one line among the intergovernmental revenues on the town side of the budget. For FY 2026-27 it is $2,084,974. The two school appropriations, $4,839,390 for Andover Elementary and $4,121,131 for the RHAM assessment, appear at their gross amounts. The grant reduces the amount to be raised by taxes, but nothing in the documents connects it to either appropriation.

This is the common practice in small towns with bifurcated budgets. Hebron's budget message treats ECS the same way, and Marlborough appears to as well. State law leaves the town free to account for the grant however it chooses; there is no statutory requirement to credit it to education.

THE PROBLEM

Why that is a problem

The 2022 charter amendment split the budget so that voters could judge the town budget, the AES budget and the RHAM levy each on its own terms. The current ECS treatment works against that purpose:

- The gross school figures overstate the local burden the schools impose, because they exclude the state contribution that the schools themselves cause to exist.
- The $2.08 million reduction in the tax levy that ECS produces is attributed to nothing in particular. It is simply absorbed.
- A voter who wants to know whether the schools are funded at an appropriate level cannot work it out from the budget book.

When East Hampton's council applied most of a $700,000 ECS grant to general tax relief in 2018, its finance director defended the move by saying the money had in fact gone to education, since the education appropriation was met from a mix of state aid and local taxes. That is technically true, and it concedes the point: if the grant has been allocated to education, the allocation belongs on the documents voters review, not in a verbal reconstruction after the fact.

THE PROPOSAL

The proposal

Allocate each year's ECS grant between AES and the Andover RHAM levy in the same proportions those two appropriations bore to one another in the prior fiscal year, as adopted, and show the allocation and the resulting net local cost on the budget documents. The letter asks for this to begin with the FY 2027-28 cycle.

The prior-year basis is the heart of the method. Because the proportions come from adopted, audited figures, each side's ECS offset is a fixed dollar amount from the day the state publishes the grant:

- It does not move when a proposed budget is revised between referendums. If one school budget passes while the other is still being cut, the passed budget's presentation is final and the other side's offset is unaffected.
- It avoids every contested per-pupil question: whether to count preschoolers, how to weight elementary against secondary students, how to treat outplaced students.
- It is self-adjusting. As the two school budgets move, the proportions follow a year behind, and the Board never has to revisit the formula.

The cost is a one-year lag in the proportions. In recent cycles the AES/RHAM split has moved only a point or two a year, well within the tolerance of what is an allocation convention rather than a measurement.

The letter is explicit that the method is a means, not the end. If the Board prefers a different allocation formula, adopting any explicit allocation would be fully responsive to the request.

WORKED EXAMPLE

What it would look like

The model workbook re-presents the Board's own FY 2026-27 budget export of June 2, 2026 with the ECS split added, formatted and paginated as the budget book itself might be. Its FY 2026-27 column uses the FY 2025-26 adopted school budgets as the basis, which is what the rule would have used had it been in force this year:

FY 2026-27	Gross	ECS allocated	Net local cost
Andover Elementary (AES)	$4,839,390	$1,093,998	$3,745,392
RHAM assessment	$4,121,131	$990,976	$3,130,155
Education total	$8,960,521	$2,084,974	$6,875,547

Basis: FY 2025-26 adopted AES $4,565,462 and RHAM $4,135,532, giving AES 52.5 percent and RHAM 47.5 percent of the school total.

The letter itself illustrates the FY 2027-28 cycle, where the basis would be the FY 2026-27 adopted figures above: AES 54.0 percent and RHAM 46.0 percent, or $1,126,051 to AES and $958,923 to RHAM at this year's grant level.

The workbook's NetLocal sheet goes one step further and nets the town side too, against its own fees, state aid and investment interest. That answers the "one-sided" objection below: for FY 2026-27 the town side drops by about $467,000 and the school side by $2.08 million, and the total to be raised by taxes reconciles to the mill-rate sheet to the dollar. The FY 2026-27 ECS figure includes the $80,192 education share of the state's $97,943 SB1 supplemental grant; the municipal share sits on the town side.

OBJECTIONS

Objections the letter anticipates

- **"It's just bookkeeping; the tax bill is identical."** Yes. That is also the argument that a clearer presentation costs nothing.
- **"State law allows discretion."** Yes. The request is that the Board exercise that discretion in favour of transparency.
- **"If ECS falls, the schools bear it visibly."** The documents would show the fall where it belongs rather than absorbing it into generic mill-rate pressure. That is a feature.
- **"Per-pupil would be fairer."** Perhaps. If the Board can settle the preschool, weighting and outplacement questions, a per-pupil allocation would satisfy the request.
- **"Netting the schools but not the town is one-sided."** The fully symmetric version is in the workbook and the letter offers to supply it.
- **"Other towns don't do this."** Practice is mixed and there is no statewide convention. Andover can be more transparent than average, not less.

DOCUMENTS

The documents

All files are alongside this page.

- **The letter** (Word, July 20, 2026) (http://andoverct.info/opinion/ecs-in-the-budget/bof-ecs-letter.docx) — as sent to the chair and members of the Board of Finance, copied to the town administrator, the chairs of the Andover and RHAM boards of education, and the Board of Selectmen.
- **Model budget with the ECS split** (Excel) (http://andoverct.info/opinion/ecs-in-the-budget/andover-budget-fy27-ecs-split-clean.xlsx) — the June 2 budget export with the allocation rows added, laid out for print: US Letter landscape, one page wide, repeated column headings, a page break at each department, and numbered page footers. The finance office's memos sit as keyed footnotes beneath the block they belong to (A1, A2 … per block), with only the key in the Note column. This is the version to share. Three sheets: *Budget* (the full account listing, with "less: ECS allocated to …" rows under each school appropriation and the

allocation basis at rows 61-66), *MillRate* (the Board's levy calculation and the budget-by-entity table) and *NetLocal* (the fully symmetric presentation, both school and town sides net of their own non-tax revenue, with a reconciliation to the levy).

- **Budget as presented today** (Excel) (http://andoverct.info/opinion/ecs-in-the-budget/andover-budget-fy27-baseline.xlsx) — the same June 2 export without the split, for side-by-side comparison. This file and the working version below were generated rather than saved from Excel, so a viewer that does not recalculate formulas (some phone previews) may show blanks where Excel shows figures.
- **Working version of the split** (Excel) (http://andoverct.info/opinion/ecs-in-the-budget/andover-budget-fy27-ecs-split.xlsx) — the July 19 workbook the letter was drafted against. Same figures and formulas as the model, without the print layout. Kept for the record.
- **CSDE ECS entitlements by district** (Excel) (http://andoverct.info/opinion/ecs-in-the-budget/csde-ecs-alliance-nonalliance.xlsx) — the state's breakout of ECS between Alliance and non-Alliance portions for every district, 2011 through the preliminary 2026-27 figures. Supporting data; Andover is entirely non-Alliance.

STATUS

Status

The letter was sent on July 20, 2026. It asks the Board to place ECS allocation practice on an upcoming agenda, and offers a five-minute presentation and a comparison table of alternative methodologies if the Board wants one.

The letter and the workbooks circulated privately through the summer and autumn. They were published here in November 2026 so that anyone following the FY 2027-28 budget cycle can read the proposal and check the figures for themselves. This section will be updated as the Board takes the question up.

About this piece. *This is a proposal: it recommends a change in how the town does something and argues for it. The reports elsewhere on andoverct.info describe; they do not recommend. The views are the author's own. The facts are drawn from the public record and sourced above, and corrections are welcome at scott@sauyet.com.*

Letter sent July 20, 2026; published here November 2026 · A proposal, not a data report · Budget figures are from the Board of Finance's June 2, 2026 budget export; the letter and workbooks are linked under The documents.

Personal work of Scott Sauyet scott@sauyet.com · A proposal, argued rather than reported · Not official communication of the Town of Andover, Region 8 (RHAM), or any party or town committee · Corrections welcome